

Statement of Profit or Loss and Statement of Financial Position

Excel file for this topic: [excel/Financial_Statements.xlsx](#) (full worked example plus a self-marking practice question)

1. Learning goals

1. Prepare a Statement of Profit or Loss for a sole trader.
2. Prepare a Statement of Financial Position for a sole trader.
3. Include year end adjustments from Chapters 8, 10 and 11.
4. Calculate working capital (net current assets).

2. The two statements

Statement of Profit or Loss (SPL)	Statement of Financial Position (SFP)
Covers a period : "for the year ended 31 December 2025"	A snapshot on one day: "at 31 December 2025"
Shows income and expenses	Shows assets, liabilities and capital
Answers: did the business make a profit?	Answers: what does the business own and owe?
Closes income and expense accounts	Lists balances which carry forward to next year

3. Layout of the Statement of Profit or Loss

[Name] Statement of Profit or Loss for the year ended [date]

	\$	\$
Revenue		X
Less: Sales returns		(X)
Net revenue		X
Less: Cost of sales		
Opening inventory	X	
Add: Purchases	X	
Less: Purchases returns	(X)	
Add: Carriage inwards	X	
	X	
Less: Closing inventory	(X)	
Cost of sales		(X)
Gross profit		X
Add other income: discount received, rent received, commission received, profit on disposal, decrease in allowance, irrecoverable debts recovered		X
		X
Less expenses: wages, rent, insurance, electricity, carriage outwards, discount allowed, irrecoverable debts, increase in allowance, depreciation, loss on disposal, loan interest		(X)
Profit for the year		X

Key formulas

- Net revenue = Revenue - Sales returns
- Cost of sales = Opening inventory + Purchases - Purchases returns + Carriage inwards - Closing inventory
- Gross profit = Net revenue - Cost of sales
- Profit for the year = Gross profit + Other income - Expenses

Carriage inwards vs carriage outwards

- Carriage **inwards** is the cost of bringing goods **in** from suppliers. It is part of **cost of sales**.
- Carriage **outwards** is the cost of delivering goods **out** to customers. It is an **expense**.

4. Layout of the Statement of Financial Position

[Name] Statement of Financial Position at [date]

	Cost \$	Accumulated depreciation \$	NBV \$
Non-current assets			
Premises, machinery, vehicles, fixtures	X	(X)	X
			X
Current assets			
Inventory		X	
Trade receivables	X		
Less: Allowance for irrecoverable debts	(X)	X	
Other receivables (prepayments, accrued income)		X	
Bank		X	
Cash		X	
		X	
Current liabilities			
Trade payables		X	
Other payables (accruals, income in advance)		X	
Bank overdraft		X	
		(X)	
Net current assets (working capital)			X
			X
Non-current liabilities			
Loan (repayable after more than 12 months)			(X)
Net assets			X
Capital			
Opening capital			X
Add: Profit for the year (or less: loss)			X
			X
Less: Drawings			(X)
Closing capital			X

Net assets **must equal** closing capital. If not, look for an error.

Order of current assets: least liquid first. Inventory, then trade receivables, other receivables, bank, cash.

5. How to deal with each adjustment

Adjustment	In the SPL	In the SFP
Closing inventory	Deduct in cost of sales	Current asset
Accrued expense	Add to the expense	Current liability (other payables)
Prepaid expense	Deduct from the expense	Current asset (other receivables)
Accrued income	Add to the income	Current asset (other receivables)
Income received in advance	Deduct from the income	Current liability (other payables)
Irrecoverable debt written off (after trial balance)	Add to irrecoverable debts expense	Deduct from trade receivables
Increase in allowance	Expense	Receivables less new allowance
Decrease in allowance	Other income	Receivables less new allowance
Depreciation for the year	Expense	Add to accumulated depreciation
Loan interest owing	Expense	Current liability (other payables)

Golden rule: every adjustment affects **both** statements. Tick each adjustment twice as you use it.

6. Full worked example: Amina Stores

Trial balance at 31 December 2025

Account	Dr \$	Cr \$
Revenue		110,000
Purchases	62,000	
Sales returns	1,500	
Purchases returns		1,200
Carriage inwards	800	
Carriage outwards	600	
Inventory at 1 January 2025	8,000	
Wages	14,000	
Rent	5,500	
Insurance	1,800	
General expenses	2,100	
Discount allowed	400	
Discount received		500
Irrecoverable debts	700	
Premises at cost	60,000	
Equipment at cost	20,000	
Provision for depreciation: equipment		6,000
Trade receivables	12,000	
Allowance for irrecoverable debts		400
Trade payables		7,500
Bank	4,300	
Cash	200	
Loan (repayable 2030)		10,000
Capital		67,300
Drawings	9,000	
Totals	202,900	202,900

Additional information at 31 December 2025

1. Inventory was valued at \$9,500.
2. Rent of \$500 was owing.
3. Insurance of \$300 was prepaid.
4. The allowance for irrecoverable debts is to be 5% of trade receivables.
5. Equipment is depreciated at 10% per year on cost (straight line). Premises are not depreciated.
6. Loan interest of 5% per year has not been paid.

Workings

Working	Calculation	\$
W1 Rent	$5,500 + 500$	6,000
W2 Insurance	$1,800 - 300$	1,500
W3 New allowance	$12,000 \times 5\%$	600
W3 Change in allowance	$600 - 400 = \text{increase}$	200
W4 Depreciation	$20,000 \times 10\%$	2,000
W4 Accumulated depreciation	$6,000 + 2,000$	8,000
W5 Loan interest	$10,000 \times 5\%$	500
W6 Other payables	$500 \text{ rent} + 500 \text{ interest}$	1,000

Amina Stores: Statement of Profit or Loss for the year ended 31 December 2025

	\$	\$
Revenue		110,000
Less: Sales returns		1,500
Net revenue		108,500
Less: Cost of sales		
Opening inventory	8,000	
Add: Purchases	62,000	
Less: Purchases returns	(1,200)	
Add: Carriage inwards	800	
	69,600	
Less: Closing inventory	(9,500)	
		60,100
Gross profit		48,400
Add: Discount received		500
		48,900
Less expenses		
Wages	14,000	
Rent (W1)	6,000	
Insurance (W2)	1,500	
General expenses	2,100	
Carriage outwards	600	
Discount allowed	400	
Irrecoverable debts	700	
Increase in allowance for irrecoverable debts (W3)	200	
Depreciation: equipment (W4)	2,000	
Loan interest (W5)	500	
		28,000
Profit for the year		20,900

Amina Stores: Statement of Financial Position at 31 December 2025

	Cost \$	Acc. dep. \$	NBV \$
Non-current assets			
Premises	60,000	0	60,000
Equipment	20,000	8,000	12,000
	80,000	8,000	72,000
Current assets			
Inventory		9,500	
Trade receivables	12,000		
Less: Allowance for irrecoverable debts	600	11,400	
Other receivables (insurance prepaid)		300	
Bank		4,300	
Cash		200	
		25,700	
Current liabilities			
Trade payables		7,500	
Other payables (W6)		1,000	
		8,500	
Net current assets			17,200
			89,200
Non-current liabilities			
Loan			10,000
Net assets			79,200
Capital			
Opening capital			67,300
Add: Profit for the year			20,900
			88,200
Less: Drawings			9,000
Closing capital			79,200

Net assets \$79,200 = Closing capital \$79,200. The statement balances.

7. Exam tips

- Write the **full heading**: business name, statement name, date or period.
- Show **workings** for every adjusted figure. Examiners give marks for method.
- Tick each trial balance item as you use it. Every item is used **once**.
- Drawings go in the **capital** section, never in the SPL.
- A loan repayable within 12 months is a **current** liability. After 12 months it is **non-current**.
- A bank overdraft is a current liability.

8. Common mistakes

- Putting carriage inwards under expenses.
- Using the trial balance allowance instead of the **new** allowance in the SFP.
- Adding the whole allowance to expenses instead of only the change.
- Forgetting loan interest owing.
- Treating drawings as an expense.

9. Check yourself

1. Opening inventory \$5,000, purchases \$30,000, purchases returns \$1,000, carriage inwards \$500, closing inventory \$6,000. Find cost of sales.
2. Current assets \$18,000, current liabilities \$7,500. Find working capital.
3. Opening capital \$40,000, profit \$12,000, drawings \$9,000. Find closing capital.

Answers: see `model-questions/Answer_Key.md` , Financial Statements section.